the only protection against economic and monetary chaos experienced after the First World War.

The Hilton Young Commission ‘discovered’ the inherent weakness of a system in which the control of currency and of credit was in the hands of two distinct authorities and where the currency and banking reserves were controlled and managed separately one from the other. It rejected the proposal to transform the Imperial Bank into a central bank and elaborated a scheme for a new central bank, the main features of which were later incorporated into the RBI. The Imperial Bank was to be left free to attend to the task of giving India a network of banking facilities. This view was also endorsed by Montagu Norman, Governor of the Bank of England, in his deposition before the Commission. On the other hand, as we have seen, Purshotamdas believed that there should be no rival to the Imperial Bank and recommended the evolution of the central bank from the Imperial Bank.

The Hilton Young Commission made detailed recommendations on the structure of the Reserve Bank, including how it would be managed. It was to be a shareholders’ bank with a paid-up capital of ₹5 crores. But when the Gold Standard and Reserve Bank of India Bill was introduced in the Legislative Assembly in January 1927 to implement the recommendations of the Commission, there was no unanimity. There were differing perceptions about the ownership of the bank, its composition, and the constitution of the Board. The government wanted a shareholders’ bank, but the nationalists were opposed to it. The government dropped the shareholders’ scheme in deference to the wishes of those opposing it in the hope that the Bill would be passed but made it amply clear that it strongly objected to election of the bank’s Directors by the Legislature. After numerous discussions, debates, and amendments, the impasse could not be resolved and the government decided not to proceed further in the matter. A new Bill was introduced in 1928 which was on the same lines as the amended 1927 Bill with two major exceptions: it would remain a shareholders’ bank as originally envisaged and there were also certain changes relating to the share capital and constitution of the Board. This Bill suffered a fate similar to that of its predecessor. It is this matter which forms the subject of the next Chapter.